

“We are a platform business, while traditional businesses are about a balance sheet approach. It is necessary to look at us differently, and a key factor is how consumer engagement drives sustainable competitive advantage,” adds Bothra.

Globally, it is still early days for food and quick commerce, says Bloisi. “There is a lot of long-term potential, and even more so in India, where penetration is still low,” he maintains. He feels Swiggy can gain from “India’s resilient economic growth, rising smartphone penetration, urbanisation, rising disposable incomes, and a shift to outsourcing everyday services.”

Bloisi, who has worked as CEO and is now Chairman of iFood, a dominant player in Brazil’s food delivery business, says there is an opportunity in scaling core business lines and getting into newer areas. “At iFood, that included building a fintech environment around the platform to expand our products and services, such as meal vouchers and credit for restaurant partners.”

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If the numbers could tell a story, it is hard to beat the quick commerce opportunity as is visible in the revenue growth (see graph, *All About The Bottom Line*). A very optimistic Majety points to the US, where grocery sales surpassed those of restaurants in 2015. “In India, we believe grocery will be 25x the restaurant industry (estimated to be \$60-65 billion, of which 40% is organised),” he says.

Swiggy is betting on a continued increase in discretionary spending and on the ultra-large tech parks coming up in Indian cities. “Both quick commerce and dining out will see more consumers coming in,” Majety maintains.

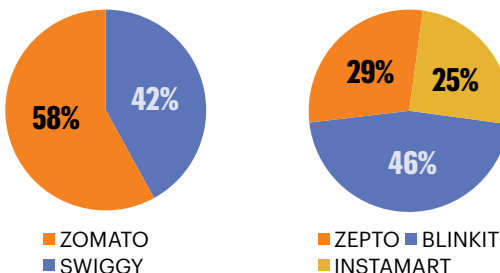
Majety looks at business with a three-year horizon, where if 10 things are done and one can “capture imagination at scale,” it will lead to something big. “Instamart will see higher growth rates than what we see in food delivery simply because of the headroom,” he says.

But there lies the rub. Analysts tracking the sector are quick to point out that Swiggy is still in the red (compared to Zomato, which turned profitable in FY24). “Our food delivery business turned profitable at an Ebitda level in FY23. Instamart is on a path where both growth and profitability are important, and I feel good about that path,” says Majety calmly.

The growth is clearly visible on Swiggy’s

BIG PLAY

- In food delivery, Swiggy trails Zomato
- In quick commerce, Swiggy Instamart is far behind leader Zepto

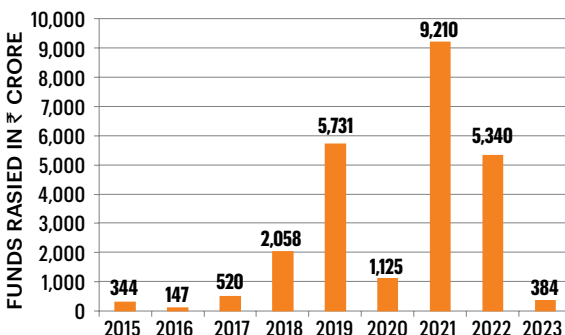


SOURCE: MOTILAL OSWAL REPORT

NOTE MARKET SHARES ARE FOR Q1FY25 ON AN ANNUALISED BASIS

FLUSH WITH FUNDS

- Swiggy has attracted many marquee investors
- Even in 2022, it raised ₹5,340 crore

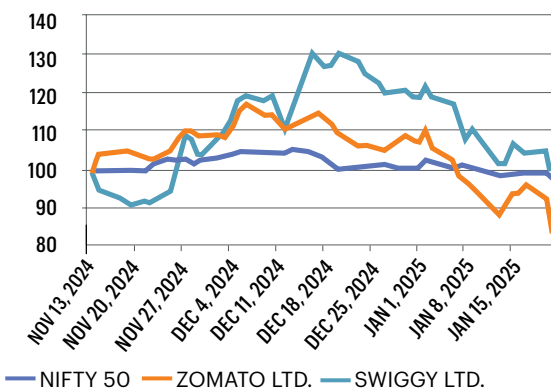


SOURCE: PRIVATECIRCLE

NOTE THIS DOES NOT INCLUDE DEBT AND SECONDARY DEALS

CHOPPY RIDE

- Since listing, Swiggy has performed better than Zomato, but the stock price has been volatile



DATA INDEXED TO 100 **SOURCE** ACE EQUITY